

Lots of companies screen as being “cheap.” I think that it’s easy to avoid value traps. The trick is to stay away from companies that can’t grow their cash flow and increase intrinsic value. If I think the business is a “melting ice cube” like newspapers, yellow pages, and video rentals, to name a few bad businesses, then I won’t invest in it, no matter how cheap it is. Conversely, if I invest in a business that can be purchased at a discount to its intrinsic value, and that value is growing, then all I have to do is wait and be patient. As Buffett says, “Time is the enemy of the poor business and the friend of the great business.”

Do you hold stocks for a long time?

It depends on valuation. As long as the share price doesn’t get too far ahead of a company’s intrinsic value, I will maintain the investment.

What has been your average exposure?

I’m mostly long. Typically, my longs are between 30 and 90 percent. My shorts are usually less than 10 percent.

How have you managed to keep your losses so small with such a long-biased exposure, given that we have had two huge bear markets since you’ve been running the fund?

I watch various economic statistics, including more esoteric data such as weekly rail car loadings. When the data points to a slowdown, I might reduce my exposure. If I am concerned enough, I may even move to almost all cash. This attention to economic indicators helped me in 2002 and in 2008. Although in 2010, the same cautionary approach cut my profits. I sold a number of stocks on the notion that the economy was in trouble, and then the Fed initiated QE2 [that is, a second phase of quantitative easing], and stocks took off. I was up 13.3 percent net in 2010, but I would have been up a lot more if I hadn’t liquidated in response to my concerns about the economy. I have no regrets, though, because I’d rather miss an opportunity than lose money.

During the long bear market in 2000 to 2002, did you have low exposure the whole time?

I had very low exposure, and I was very patient.

How low?